

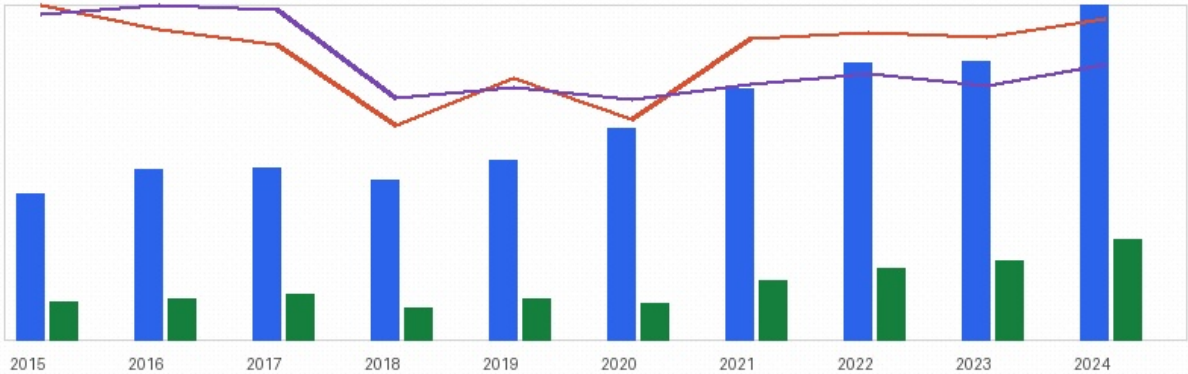
REC Ltd (RECLTD)

ROE 20.40%	ROCE 9.31%	NPM 29.77%
D/E 6.42	Revenue CAGR 13.34%	FCF -59,554.00

Sector: Financials | **Sub-sector:** Speciality Finance

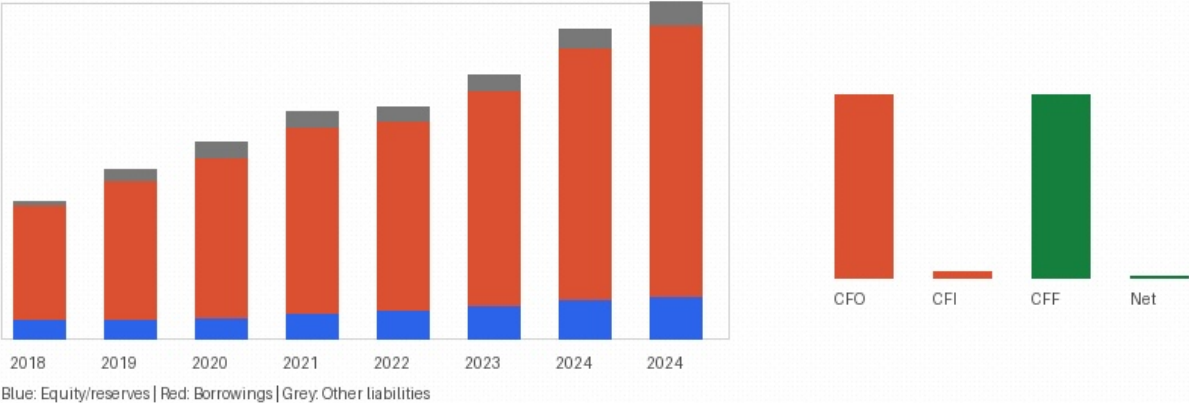
REC is a Central Public Sector Undertaking under the Ministry of Power involved in financing projects in the complete power sector value chain from generation to distribution. [1]

Revenue, Net Profit, ROE and ROCE trend



Blue: Revenue | Green: Net Profit | Red: ROE | Purple: ROCE

Balance sheet composition and latest cash-flow waterfall



Pros	Cons
Operating profit margin above 25% indicates strong pricing power and cost discipline	Free cash flow negative for 3 consecutive years raises concern about cash generation quality
Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding	Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
Revenue growing slower than profits shows improving operating leverage and scale benefits	Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation: Growth Funded by Debt